Year	Balance for interest	Net deductions earned, times	Range for year	
			4½s, 1978	Adj. 5s
1930	11,999,000	2.40	92½–101	86– 108½
1931	5,579,000	1.22	43½– 98	34– 95
1932	4,268,000	1.01	36– 70¾	13– 60
1933	3,378,000	0.86	55– 77½	32¾–65
1934	2,093,000	0.65	63⅛– 83¾	29– 62½
1935	2,457,000	0.71	28½– 64	11¼–36½
1936	4,773,000	1.09	52½– 83	30¾–74¾
1937	3,274,000	0.86	38– 79¾	18½–80
1938	1,120,000	0.49	25– 45¾	10– 24

It will be seen that the 1930 earnings did not in fact prove a guide to the future normal earning power of M-K-T. Yet this mistake need not have proved very costly to an individual investor who bought the fixed-interest bonds in 1931. Despite the decline in earnings and investment quality, he had several opportunities to sell out advantageously during the next six years. As we point out later (Chap. 21), proper investment technique would have compelled such a sale, in view of the changed exhibit.

After 1934, interest on the adjustment bonds was paid only in 1937. The price range of that issue is interesting chiefly as a reflection of the heedlessness of bond buyers. Note that at the 1937 highs they paid the same price for the adjustment 5s as for the 4½s, despite the totally inadequate earnings coverage, and despite the fact that in 1932, 1934 and 1935 the senior issue had sold more than twice as high as the adjustments.

Senior Income Bonds. There are a few instances of income bonds which are senior in their lien to other bonds bearing fixed interest. The Atchison Adjustment 4s are the best known example, being followed by 4% fixed-interest debenture issues which have regularly sold at a lower price except briefly in 1938. The situation holds true also with respect to St. Louis Southwestern Railway Company Second Income 4s.[5] While the theoret-

[5] The various reorganization plans for this road (1936–1939) all give the Second Income 4s much better treatment than is offered the junior fixed-interest issues. An unusual case is afforded by Wabash Railway Noncumulative Income Debenture 6s, due 1939, interest on which was payable "from net income." Although called debentures, they are secured by a direct lien and have priority over the Wabash *Railroad* Refunding and General Mortgage. Although entitled by their terms only to noncumulative interest dependent on earnings, this